

Risk And Disclosure Notes

This is a working checklist, not legal advice. A qualified attorney/compliance consultant should review any material before funds are accepted or performance is distributed.

Performance Status

- All trading results in this package are hypothetical/backtested.
- No audited live CTA track record is presented.
- Results include model assumptions, replay assumptions, and historical data limitations.
- Hypothetical results may differ materially from actual trading due to liquidity, market impact, slippage, missed orders, platform outages, human behavior, and changing market regimes.

Futures Risk

- Futures are leveraged and can lose more than the posted margin or planned allocation.
- Stops may fill worse than expected during gaps or fast markets.
- Technology failure can leave orders, positions, or data state out of sync.
- The platform must include stale-feed controls, broker/local reconciliation, daily flattening, and a manual kill switch.
- StoneX fees in this package are based on the founder-provided schedule and should be verified during account opening.

Private Offering / CTA Review Checklist

- Determine whether the structure is an advisory relationship, pooled vehicle, software/service subscription, or another legal form.
- Confirm whether CTA registration or an exemption applies before managing or advising commodity-interest accounts.
- Treat CTA registration as the default working path unless counsel documents a valid exemption for the actual fundraising and advisory structure.
- Do not provide compensated futures advice, place discretionary trades, or direct client commodity-interest accounts until registration/exemption and disclosure requirements are satisfied.
- Confirm whether any securities offering exemption is needed if raising operating capital from family/friends.
- Avoid public solicitation unless counsel confirms the structure permits it.
- Verify investor suitability/accredited status requirements where applicable.
- Keep hypothetical-performance disclaimers next to performance tables, not only at the end.
- Maintain support files for every performance claim, including source data, replay assumptions, commissions/fees, and annual return calculations.

CTA Registration-First Checklist

- Designate an NFA ORS Security Manager and prepare online Form 7-R.
- Identify principals/APs, Form 8-R requirements, fingerprints, and proficiency requirements such as Series 3.
- Budget for the NFA application fee, CTA dues, AP/principal fee, exam/admin costs, counsel, disclosure drafting, and accounting/audit setup.
- Prepare the CTA disclosure document and do not use it with prospective clients until required NFA review/acceptance is complete.
- Review all hypothetical-performance and promotional materials against NFA Rule 2-29 before distribution.
- Confirm whether Canadian CTC/cross-border registration, NRD filings, or Canadian working-capital rules apply before taking Canadian client activity.

Founder Partner / Side Letter Checklist

- Treat founder economics as a draft alignment principle until counsel documents them.
- Proposed founder economics in this package are 0% management / 10% performance fee, compared with a possible future standard 1/20 model.
- Do not promise permanent capacity, permanent fee terms, or withdrawal rights unless they are written into counsel-approved agreements.
- Confirm whether special founder terms create conflicts, disclosure obligations, side-letter parity requirements, or most-favored-nation issues.
- If family/friends later transition into managed accounts, make sure every account's fee treatment and high-water-mark mechanics are auditable.

Official References

- SEC accredited investor guidance: <https://www.sec.gov/resources-small-businesses/capital-raising-building-blocks/accredited-investors>
- Investor.gov Rule 506 overview: <https://www.investor.gov/introduction-investing/investing-basics/glossary/rule-506-regulation-d>
- NFA CTA registration requirements: <https://www.nfa.futures.org/registration-membership/who-has-to-register/cta.html>
- NFA membership dues and fees: <https://www.nfa.futures.org/registration-membership/dues-revenue-structure.html>
- NFA CTA disclosure documents: <https://www.nfa.futures.org/members/cta/regulatory-obligations/disclosure-documents.html>
- NFA CTA disclosure document FAQs: <https://www.nfa.futures.org/faqs/members/cta-disclosure-documents.html>
- NFA Compliance Rule 2-29:
<https://www.nfa.futures.org/rulebooksql/rules.aspx?RuleID=RULE+2-29&Section=4>

Language To Avoid Before Counsel Review

- Do not say results are guaranteed, expected, safe, proven, or audited.
- Do not imply the backtest is equivalent to actual client trading.
- Do not advertise exact proprietary formulas in general materials.
- Do not present the NQ tier as live-ready before MNQ operations are validated.